Advanced Empirical Finance: Topics and Data Science

Mean-variance optimization

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Today

- Returns and their distribution
- The minimum-variance and the efficient portfolio
- The efficient frontier, with and without a risk-free asset

Returns and their distribution

TBD

The minimum-variance and the efficient portfolio

TBD

The efficient frontier, with and without a risk-free asset

TBD

Before the next lecture

- **Exercise 2:** Mean-variance optimization
- **Read:** DeMiguel, Garlappi & Uppal (2009)